الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
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AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B328
Marketing in Action

MTA / Version: B
2025-2026 SPRING

20 – April – 2026

Number of Exam Pages: 2 pages	Time Allowed: 2 hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the exa
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Polic

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QUESTION 1 (15 marks)

Case Study: Hermès and Controlled Demand

Hermès, the French luxury fashion house, is globally known for its Birkin and Kelly handbags. Despite extremely high demand, Hermès does not mass-produce these products or make them easily available. Customers cannot simply walk into a store and purchase a Birkin bag. Instead, the company limits supply, avoids traditional advertising for these products, maintains long waiting lists, and sells only through selected boutiques.

Hermès also restricts how many bags a customer can purchase and prioritizes long-term clients. Prices are kept very high, and availability remains intentionally scarce, even though the company has the capability to increase production. As a result, demand consistently exceeds supply, reinforcing the brand's image of exclusivity, craftsmanship, and prestige.

This approach has helped Hermès maintain strong brand equity and long-term profitability while selling relatively low volumes compared to mass-market brands.

Q1a. Identify the marketing concept applied by Hermès in this case and explain how it is implemented. (8 marks)

Q1b. Explain two reasons why demarketing is an effective strategy for Hermès. (7 marks)

QUESTION 2 (15 marks)

Q2: Discuss **deceptive advertising** and **disrespectful advertising** and illustrate your answer with real-world examples of each. (**15 marks**)

END OF QUESTION PAPER

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